

PURUSHOTTAM DIWAKAR

VICTIMS OF TRUMP TARIFFS | HANDICRAFTS & FURNITURE

STANDING ON WOBBLY LEGS

The future of lakhs of artisans in India hangs in the balance as the US—the largest foreign buyer of their goods—threatens to pull out

By ROHIT PARIHAR

INDIA'S EXPORTS TO THE US
$2.25 billion
(Rs 19,800 cr.)

TOTAL JOBS IMPACTED
700 thousand

The Fallout: India has 744 handicraft clusters and employs 212,000 artisans directly, offering 35,000 kinds of products, according to the India Brand Equity Foundation. The value of exports in FY25 was $3.48 billion (Rs 30,624 crore) and, in the previous fiscal, 41 per cent of it—the largest chunk, valued at $1.72 billion (Rs 15,160 crore)—had the US as its destination. Rajasthan itself has handicraft exports of $1.2 billion (Rs 10,578 crore), of which 60 per cent (or Rs 6,346 crore) goes to the US. Some 150,000 people are directly and indirectly involved in this trade in Rajasthan. When it comes to furniture exports, around half—worth $532 million (Rs 4,689 crore)—went to the US in FY25.

The Competitors: China and Vietnam both rank higher than India when it comes to volume of furniture exports. China is the largest exporter due to its mega factories, cheap labour and a massive variety of products. Vietnamese labour is also cheap and the country offers eco-friendly wood products to boot.

Newer Markets: The US has been crucial for India because it's the largest furniture importer in the world. But India has a trick up its sleeve—it's also the fourth largest consumer of furniture, so manufacturers are hoping to regroup and sell their products domestically, marketing them as being of 'export quality'. ■

CASE STUDY

NIRAJ SETHIA, 53
Sethia Handicrafts, *Jodhpur*

Annual turnover/ Total exports to the US
₹25 crore

No. of employees: 200

Likely loss due to the tariffs: Total, unless it shifts to retail in India

Sethia became too comfortable with the US. He admits it, having catered to their furniture market for 25 years. The businesses that came to him for cabinets and tables would be locked in contracts lasting a minimum of three years and going up to 16—solid, time-tested partnerships. But now, with the Trump tariffs, his products will become unviable in that market. "We ignored the domestic market entirely," he says, adding that there are other exporters like him and they will all have to pivot—fast.

And it's not as if Sethia's customers won't suffer: what India offers—acacia and mango tree wood—may not be available in other countries. While none of his stock has been refused lately—he and many others cleared inventory in the past three months—Sethia has not got any new orders due to the prevailing uncertainty. He may reduce his staff by 20-30 per cent soon.

Sethia did try to explore Europe for a while, but the volume and effort required in the enterprise dissuaded him. The only remaining option for him is to shift away from the B2B model to a business-to-consumer one. ■